

MAINS MASTER PROGRAM (MMP) 2024

International Relations- 3

Bilateral Relations & Diaspora

Contents

India- USA Relations.....	4
Previous Years' Questions.....	4
Economic Cooperation:.....	4
Opportunities:.....	4
Challenges:.....	4
Defence Cooperation:.....	4
Challenges:.....	5
Climate Change.....	5
Challenge:.....	5
Convergences between India and USA:.....	5
Challenges:.....	5
Recent Initiatives:.....	6
Examples of Cooperation:.....	6
In News: Modi Biden Summit on the sidelines of G20.....	6
Defence Minister Rajnath Singh visit to the USA (August 2024).....	7
Second meeting of the India-US initiative on Critical and Emerging Technology.....	8
PM Modi state visit to the USA in June 2023.....	8
Key Outcomes:.....	8
USA National Security Strategy 2022.....	9
Summit for Democracy.....	9
USA views on China:.....	10
Recent USA initiative to balance China.....	10
USA on Taiwan:.....	10
Commonality between USA and India on China.....	11
Challenges:.....	11
China Vs USSR- challenge to the USA.....	11
Probable Questions:.....	11
India- Russia Relations.....	12
Importance of Russia.....	12

Institutional level Engagements:.....	12
Defence Relations:	12
Challenges in defence cooperation:.....	13
Economic Cooperation:.....	13
Challenges:	13
Rupee-Rouble Payment Mechanism:.....	14
Energy Cooperation:	14
Nuclear cooperation:	14
Evolution in India's position On Ukraine Crisis:	14
PM Modi State Visit to Russia in July 2024	14
PM Modi visit to Ukraine	15
Convergences between India and Russia:	16
Challenges:	16
Future of Relationship:	16
Pivot to Asia policy:	17
Eastern Economic Forum:	17
New Russian Foreign Policy Concept:	17
Eurasian Economic Union (EAEU)	17
Russia-China Relations	17
Complementarities:	18
Contradictions:	18
What should be India's approach:	18
Ukraine Crisis	18
Reasons behind crisis:	18
Current impasse:	19
Impact of Ukraine crisis:	19
India's Gains:	19
India's Challenges:	20
Ukraine 10-point Peace Plan.....	20
China 12-point peace plan for Ukraine:	20
Price Cap on Russian Oil.....	21
Probable Questions:.....	22
India Japan relations	22
Previous Year Questions	22
Economic Relations:	22
Security Cooperation:	23
Cooperation in Infrastructure Development:	23
Political Engagements:	23
Sister City Cooperation:	23

Digital Sector:.....	23
Recent Initiatives:.....	23
Outcome Of India Japan annual summit 2023:	24
Convergence:	24
Challenges:.....	24
Japan's Strategic Reorientation	24
India Australia Relations	25
Economic Cooperation:.....	25
Features of ETCA:	26
Geopolitical:	26
Political Cooperation:.....	26
Security Cooperation:	26
Energy Security:	26
Convergences:.....	27
Challenges:.....	27
India-France Relations	27
Convergences:.....	27
Economic Cooperation:.....	27
Security Cooperation:	27
Indo -Pacific:.....	28
Energy Cooperation:	28
PM Modi Visit to France:.....	28
Key Outcomes:	28
French president visit to India in January 2024	29
Indian Diaspora	29
Previous Years' Questions.....	29
Evolution of Policy towards Diaspora:	30
Countries Hosting Indian Diaspora -2020	30
Role of Diaspora:.....	30
Indians in the Gulf:.....	31
Benefits:	31
Challenges:.....	31
Indians in USA and West:.....	31
Indians in Africa:.....	32
Challenges:.....	32
India in South East Asia:.....	33
Steps taken to deepen engagements	33

Previous Years' Questions

1. The USA is facing an existential threat in the form of a China, that is much more challenging than the erstwhile Soviet Union." Explain. Critically examine the aims and objectives of SCO. What importance does it hold for India? (2021)
2. The newly tri-nation partnership AUKUS is aimed at countering China's ambitions in the Indo-Pacific region. Is it going to supersede the existing partnerships in the region? Discuss the strength and impact of AUKUS in the present scenario. (2021)
3. What is the significance of Indo-US defence deals over Indo-Russian defence deals? Discuss with reference to stability in the Indo-Pacific region. (2020).
4. Quadrilateral Security Dialogue (QUAD)' is the transforming itself into a trade bloc from a military alliance, in present times – Discuss. (2020)
5. What introduces friction into the ties between India and the United States is that Washington is still unable to find for India a position in its global strategy, which would satisfy India's National self-esteem and ambitions" Explain with suitable examples. (2019).
6. In what ways would the ongoing US-Iran Nuclear Pact Controversy affect the national interest of India? How should India respond to this situation? (2018)

Economic Cooperation:

As per provisional data of FY-24, USA has emerged as the second largest trade partner of India at \$118.28 billion, behind China. India enjoys a trade surplus of \$36.74 billion.

The US is the 3rd largest investor in India, having invested \$65.19 billion from April 2000 to March 2024 (Invest India).

Opportunities:

1. Economic complementarities.
2. Market diversification: Alternative to China, Part of New Washington Consensus.
3. Democratic society, open economy and Rule of Law.
4. Low labour cost and skilled manpower

Challenges:

1. Absence of FTA
2. Policy uncertainty and unpredictability
3. Trade Protectionism by the USA and high tariffs in Indian market
4. High cost of doing business in India
5. Absence of economies of scale
6. Differences over data localisation
7. India's removal from GSP list

Defence Cooperation:

- The US has become India's second-largest arms supplier (2011-15) and 4th largest (2016-20). India-US defence trade has increased from nearly zero in 2008 to over \$15 billion in 2018.
- The 2023 National Defence Authorization Act has called for expanding cooperation with India on emerging defence technologies, readiness and logistics.

- India recognised as Major Defence Partner and given STA-1 authorisation.
- Some important bilateral exercises are: Yudh Abhyas, Vajra Prahar, Tarkash, Tiger Triumph, and Cope India. Other: Malabar Naval exercise.

India-U.S. Defence Technology and Trade Initiative (DTTI): aims at promoting co-development and coproduction efforts. It aims to expedite the scope of cooperation on defence technology that become narrow due to the presence of differing bureaucratic processes and legal requirements.

Challenges:

1. India's dependence in Russia for defence platforms and their maintenance. Since 2010, 62% of imports are from Russia.
2. Inability of USA to hold Pakistan accountable for terrorism.
3. Lack of engagement over issues like withdrawal from Afghanistan deepens distrust.
4. India not an ally or treaty partner of USA.
5. USA platforms come with conditionalities.
6. Alternate suppliers like Israel and France.

Climate Change

1. India-US Climate and Clean Energy Agenda 2030 Partnership launched at the Leaders' Summit on Climate in April 2021 by Prime Minister Narendra Modi and US President Joe Biden.
2. Climate Action and Finance Mobilisation Dialogue (CAFMD) under India-US Climate Clean Energy Agenda 2030.
3. US-India Strategic Clean Energy Partnership (SCEP) helmed by Minister for Petroleum and Natural Gas and Housing and Urban Affairs Hardeep Singh Puri on the Indian side and the US Secretary of Energy Jennifer Granholm.

Challenge:

1. USA demand from India to continuously increase the commitment shows lack of understanding in USA about India's developmental needs.
2. USA leadership in fulfilling commitment under Green Climate Fund has been lacking.

Convergences between India and USA:

1. Shared commitment to Rule of Law, democracy and stability.
2. Shared threat of China and resultant instability.
3. Stake in ensuring stability in the Indo-Pacific.
4. Common Geostrategic interests
5. Bipartisan consensus in both nations about importance of partnership.
6. Economic complementarities.
7. Common value system
8. Common challenges of terrorism, Climate Change and Global Warming.
9. Deep people to people relations.

Challenges:

1. India's policy of strategic autonomy Vs. US demand of aligning with USA
2. Differences over relations with Russia and Iran.

3. Differences in world Views- Unipolar Vs. Multipolar
4. Differences over extent of Indo-Pacific
5. Withdrawal of GSP benefits is expected to impact around \$6.3 billion worth of exports.
6. Concerns about imposition of sanctions under CAATSA
7. **Trust Deficit:** Difference over Afghanistan withdrawal and reliability of USA partnership.
8. Absence of FTA between India and USA.
9. Frequent comments on India's internal issues: USCIRF making negative comments about religious freedom in India
10. **Differing stance over Ukraine crisis:** President Biden Termed India stance on Ukraine crisis as "shaky". On PM Modi visit to Russia, US Ambassador to India said that Indo-US Relations 'Not Yet Deep Enough' to be Taken for Granted. There is no such thing as strategic autonomy" during a conflict and said that in today's interconnected world, "no war remains distant anymore."
11. Allegation of assassination attempts by Indian agencies on USA soil: USA has changed an Indian national of conspiring to murder Sikh separatist Gurbatwant Singh Panu in New York.

Recent Initiatives:

- **Initiative on Critical and Emerging Technologies (iCET)** launched between USA and India. It will be run by the National Security Councils of two countries.
- Pentagon has said that it was ready for any response to wean India away from Russia.
- Under **New Washington Consensus**, Jake Sullivan called for taking partners like India long and investing in India for resilient supply chains.
- During **US secretary of defence Lloyd Austin's recent visit**, a roadmap for **US-India Defence Industrial Co-operation**, aimed at galvanising technology co-operation and co-production in India's defence needs was concluded.

Examples of Cooperation:

1. Regular engagements at the higher level including 2+2 dialogue.
2. Signing of Four Foundational agreements (GSOMIA, LEMOA, COMCASA, BECA)
3. India recognised as Major Defence Partner and given STA-1 authorisation.
4. Membership of various groupings like QUAD, Indo-Pacific Economic Framework etc.
5. Regular Military exercises like Malabar, Yudh-Abhyas, Vajra-Prahar etc.
6. USA accommodative stance on S-400 purchase, Ukraine crisis etc.
7. In August 2024, USA government has approved a \$52.8 million sale of anti-submarine warfare sonobuoys for MH-60R helicopters. The equipment is designed to enhance India's anti-submarine warfare capabilities.

In News: Modi Biden Summit on the sidelines of G20

Outcomes:

- India to procure 32 MQ9 Reaper drones to enhance ISR capabilities of Indian armed forces across all domains.
- Both sides to Intensify consultations over small nuclear reactors.
- Both sides reiterated their stance on building resilient global semiconductor supply chains.
- Both sides have agreed to establish a working group for commercial space collaboration under the existing India-US civil space joint working group.

- India's NIIF and USDFC exchanged LoI to each provide \$500 million to create multi-billion dollar investment platform to provide catalytic capital for greenfield renewable energy projects.
- Both leaders committed to deepen and diversify the India-US Major defence Partnership through expanded cooperation in new and emerging domains such as space and AI.
- New Delhi has also supported US' **Rip and Replace** pilot project, which mandates American companies tear out telecom equipments made by the Chinese firms Huawei and ZTE. This has already been implemented by New Delhi as part of its 5G launch.

Defence Minister Rajnath Singh visit to the USA (August 2024)

India and USA signed two critical agreements: The Security of Supplies Arrangement (SOSA) and a Memorandum of Understanding (MoU) on the assignment of Liaison Officers.

Security of Supplies Arrangement (SOSA)

1. Under Security of Supplies Arrangement (SOSA), the US and India will provide reciprocal priority support to each other for goods and services that promote national defence.
2. It is aimed at ensuring that each country can maintain the necessary supply chain resilience in times of need.
3. SOSA is **not legally binding** and will operate on the principle of goodwill between India and the USA.
4. Indian companies which will agree to participate in SOSA must make an effort to prioritise orders from the USA. In turn, the USA will provide assurances under its Defence Priorities and Allocations System (DPAS).
5. USA has signed SOSA with 17 other nations, including several non-NATO allies. India is the 18th SOSA partner of the US.

MoU on the assignment of Liaison Officers

- The MoU is a progression on a decision taken earlier to increase information-sharing between India and the US, and to post Indian armed forces officers in key strategic US Commands. India will deploy the first Liaison Officer to the US Special Operations Command headquarters in Florida.

Other Outcomes:

- The two nations agreed to advance priority co-production projects under the 2023 US-India Roadmap for Defence Industrial Cooperation.
- Both leaders reviewed the progress made in operationalizing the Indo-Pacific Maritime Domain Awareness (IPMDA) initiative, a key component of the QUAD. The IPMDA initiative aims to enhance the maritime security architecture in the Indo-Pacific region by improving the surveillance and monitoring capabilities of partner nations.

Both sides working on **Reciprocal Defence Procurement (RDP) Agreement**. Its key features are:

1. Aimed at promoting rationalisation, standardisation, interchangeability, and interoperability of conventional defence equipment with US allies and other friendly governments. Till now, the US has signed RDP Agreements with 28 countries.

2. The RDP agreement would help US companies to bypass certain domestic procurement restrictions like India's "Make in India" initiative. This will, in turn, allow them to set up manufacturing bases in India and collaborate more closely with local firms.
3. This will be binding in nature.

Second meeting of the India-US initiative on Critical and Emerging Technology

1. In June 2024, India and US NSAs chaired the second meeting of the India-US initiative on Critical and Emerging Technology, launched in January 2023. Both sides resolved to prevent the leakage of sensitive and dual-use technologies to countries of concern.
2. They launched a new strategic semiconductor partnership between US and Indian companies for precision-guided ammunition and other national security-focused electronics platforms.
3. They also agreed to co-invest in a lithium resource project in South America and a rare earths deposit in Africa "to diversify critical mineral supply chain".
4. They also committed to soon conclude a bilateral critical minerals pact for graphite, gallium and germanium.

PM Modi state visit to the USA in June 2023

Key Outcomes:

- The India-U.S. **New and Emerging Renewable Energy Technologies Action Platform** launched to accelerate cooperation in green hydrogen, offshore and onshore wind, and other emerging technologies.
- India became the new member of the **US-led Mineral Security Partnership (MSP)**, which aims to ensure the supply of critical minerals.
- An interagency-led **Strategic Trade Dialogue** was launched to undertake efforts to address export controls and facilitate technology transfer between the two countries.
- An MoU on **Semiconductor Supply Chain and Innovation Partnership** was signed to promote commercial opportunities, research, talent, and skill development.
- **Indo-U.S. Quantum Coordination Mechanism** was established to facilitate collaboration among industry, academia, and government
- U.S.-India Science and Technology Endowment fund was launched for the joint development and commercialization of Artificial Intelligence (AI) and quantum between the countries.
- A new initiative called "Innovation Handshake" was started to connect the startup ecosystems of the two countries, to support the US-India Initiative on Critical and Emerging Technology (iCET).

Defence Agreements:

- An agreement to Co-produce the GE F414 jet engine was signed between General Electric (GE) and Hindustan Aeronautics Limited (HAL).
- India to procure 31 High Altitude Long Endurance (HALE) Unmanned Aerial vehicles (UAV) MQ-9B drones from the US.
- The **U.S.-India Defence Acceleration Ecosystem (INDUS-X)** was launched to facilitate joint defence technology innovation, and co-production of advanced defence technologies

Space Cooperation:

- NASA to provide advanced training to Indian astronauts with the goal of mounting a joint effort to the International Space Station (ISS) in 2024.
- India signed the US led '**Artemis Accord**', which aims to establish a common vision via a set of principles, guidelines, and best practices to enhance the governance of the civil exploration and use of outer space.

USA National Security Strategy 2022

- Main goal of strategy is out-competing China and constraining Russia.
- China has ambition to “create an enhanced sphere of influence in the Indo-Pacific and to become the world’s leading power”.
- Three-pronged strategy to deal with China: **to invest, to align and to compete**.
- Called Russia-Ukraine war as “Putin’s war”. The conflict has “profoundly diminished Russia’s status vis-à-vis China and other Asian powers such as India and Japan.”
- India being the world’s largest democracy and a “Major Defence Partner”, will continue to be a key partner in realising Washington’s vision of a “free and open” Indo-Pacific.
- QUAD will now seek to deepen cybersecurity partnership and promote high standards for infrastructure and health security.

Summit for Democracy

- First summit held in December 2021 by US President Biden which brought together leaders from government, civil society, and the private sector to set forth an affirmative agenda for democratic renewal and to tackle the greatest threats faced by democracies today through collective action.
- During the first Summit, President Biden announced the establishment of the **Presidential Initiative for Democratic Renewal**, a landmark set of policy and foreign assistance initiatives that build upon the U.S. Government’s significant, ongoing work to bolster democracy and defend human rights globally.
- **Second summit** co-hosted by the USA with the governments of Costa Rica, the Netherlands, Republic of Korea, and Republic of Zambia in March 2023.
- Declaration called for commitments on banning or monitoring surveillance technology and improved democratic regulation of social media.
- **Third Summit** was hosted by South Korea in March 2024. Summit’s agenda focused on digital threats to democracy, including misinformation, artificial intelligence, and deep fakes. At the summit nations called for measures to counter digital threats to freedom.
- Finland, Germany, Ireland, Japan, Poland, and the Republic of Korea agreed to work together to counter the misuse of commercial spyware.

Reasons for the Summit:

- Global Democratic Backsliding and Russia’s invasion of Europe.
- Populist, autocratic government in places such as Hungary, Israel, Mexico, Turkey, and Venezuela.
- Attempt by USA to shore up its alliances in the face of a non-democratic China.
- USA attempt to project the competition with Russia and China as essentially democracy vs. authoritarianism.

USA views on China:

USA views India as a **geopolitical counterbalance** and **economic alternative** to China. The declassified Documents of Trump administration have revealed the policy of a strong India in cooperation with likeminded countries, would act as a counterbalance to China in the Indo-Pacific region.

Biden administration strategy plan argues that that the USA would "steadily advance our Major Defence Partnership with India and support its role as a **Net Security Provider**".

USA state department document: China is the greatest long-term challenge and the one nation with the power and resources to reshape the US-led order to its advantage.

USA and EU have talked about de-risking and diversifying, not decoupling. US President Biden has talked about competing with China on multiple dimensions, but confrontation or conflict. He has also said that the United States and China can and should work together on global challenges like climate, like macroeconomic stability, health security, and food security.

As per Gallup survey. 83% of Americans view China negatively. Only 15% view China positively against 77% for Taiwan.

Recent USA initiative to balance China

- USA has put restrictions on semiconductor technology exports to China on grounds of national security concerns. US is also screening foreign investments in critical areas relevant to national security and outbound investments in sensitive technologies with a core national security nexus.
- USA has upgraded in relationship with Vietnam to Comprehensive strategic partnership and is willing to provide military hardware, justifying in terms of helping Vietnam diversify away from current reliance on Russian supplies.
- The new **Philippines** administration of Ferdinand Marcos Jr. has upgraded military alliance with the USA. USA has regained access to key bases in Philippines and has been additionally given four more bases. The new guidelines for 1951 treaty issued in May 2023 contains more specific US commitments to deal with security threats to Philippines' security, including its EEZ.
- USA, Japan and South Korea have adopted **Camp David Principles**, which provide for annual trilateral summits, a hotline among leaders, intelligence sharing and annual military exercises.

USA on Taiwan:

- USA has maintained "strategic ambiguity" on Taiwan. In line with **One China Policy**, it doesn't recognize Taiwan independence, but Taiwan Relations Act (TRA) asks US government to provide Taiwan with arms of defensive character.
- USA NDAA 2023 authorized increased security cooperation with Taiwan in the Indo-Pacific region. It has authorized up to \$10 billion in security assistance and fast-tracked weapons procurement for Taiwan.
- China has criticized the act arguing that it has provisions that cause serious damage to peace and stability in Taiwan Strait.

Commonality between USA and India on China

1. China as a common adversary
2. Common goal of ensuring peace in the Indo-Pacific.
3. Concerned about China's rise and resulting instability.
4. Common values of democracy, multi-cultural society and plurality.
5. Commitment to rule-based international order.

Challenges:

1. India is not an alliance partner with USA.
2. Deeper US-China economic engagements. Bilateral trade is at \$575 billion.
3. Unlike USA, India is not very open in Chinese criticism.
4. India has concerns about G-2 between China and USA.

China Vs USSR- challenge to the USA

With USSR:

1. Ideological component more dominant
2. Limited economic engagement
3. Clear division across the globe
4. Technological race limited to defence and space domains.
5. Bipolar world
6. Strong support of European allies due to threat of USSR

With China:

1. Deeply integrated markets across the globe
2. Ideological component not that much prominent
3. China's economic engagement across the globe
4. China's economic growth much faster than the USA
5. Ambivalence among European nations
6. A multipolar world
7. Technological race involves all the domains of tech expertise
8. Attempts to create alternative institutions

Probable Questions:

1. Differing world views and geostrategic priorities limit the scope for cooperation between India and USA. Discuss. How can QUAD help in strengthening India-USA Relations?
2. Ukraine crisis has raised questions over the depth of India USA strategic partnership. Analyse the statement in context of deepening of India-USA relations in recent times.
3. "A partnership among mature major powers is never about seeking a complete convergence. It is about managing differences". Explain in reference to India-USA Relations.
4. USA needs to reorient its defence cooperation, if it wants to replace Russia as India's top defence partner. Explain with relevant examples.

India- Russia Relations

Russia is among the most trusted partners of India. The relationship has stood the test of time and is spread across military, economic, scientific, energy, anti-terrorism etc. domains. Both nations enjoy Special and Privileged Strategic Partnership.

The USSR stepped in when the Western countries refused or were reluctant to help India with its economic development. The first steel plants (Bhilai), chemical fertiliser factories (Sindri), Heavy Engineering establishment (Haridwar and Bhopal) and units to produce life-saving drugs and vaccines (IDPL in Rishikesh) were set up with Russian assistance.

In August 1971, India and USSR signed the **Indo-Soviet Treaty of Friendship and Cooperation**. Soviet Union assured to protect India from any intervention from China or USA during 1971 Indo-Pakistan war. The treaty strengthened the relationship and tilted India towards USSR.

The Strategic Partnership was signed between the two countries in 2000. In December 2010, it was further elevated to the level of "Special and Privileged Strategic Partnership".

Importance of Russia

- Permanent member of UNSC. On Kashmir and multiple other issues, Russia has remained the biggest and most supported supporter of India in the UNSC.
- Shared vision of a multipolar world and key to ensuring a multipolar Asia.
- Second strongest military power
- Has among the largest energy reserves and is energy producer
- Leader in defence manufacturing, civil nuclear and space technology
- Supplies defence platforms without conditionalities
- Opportunity for investment in energy, diamond, timber sector etc.

Institutional level Engagements:

- India-Russia Annual Summit
- 2+2 dialogue mechanism comprising the foreign and defence ministers of both countries.
- India-Russia strategic economic dialogue: To identify greater synergy in trade and investment
- India-Russia Inter-Governmental Commission on Military and Military-Technical Cooperation
- India-Russia Inter-Governmental Commission on Trade, Economic, Scientific, Technological and Cultural Cooperation (IRIGC-TEC).

India and Russia have agreed to revise bilateral air service agreement for more civilian flights from Russia to different Indian cities.

Defence Relations:

- Strongest area of cooperation.
- Around 70% of Indian defence equipments are of Russian origin. Between 2016 and 2020, India bought 23 percent of Russia's weapons and has remained Russia's biggest customer.
- Russian equipments are supplied without conditionalities.

- Russia supplies state of the art military platforms to India and also goes for joint development, technology transfer and licensed manufacturing.
- Russia supplies and permits licensed manufacturing of the most advance weapon systems to India, unlike USA. Joint development has added more substance to the partnership.
- Government-to-government deals reduce procurement delays and unnecessary litigations
 - Joint Development: BrahMos Missile.
 - Licensed production: Sukhoi-30 MKI, T-90 tank, AK 203 machine guns etc.
 - State of the art platforms: S-400 Triumf missile defence system

Challenges in defence cooperation:

1. Delay in timely supply of Spares
2. USA sanctions on Russia
3. Russia has also started supplying weapon platforms to China
4. Russia still lags in emerging technologies like UAVs.
5. Over dependence on one supplier (Russia) limits space for manoeuvre.
6. Some of the important joint development projects like FGFA could not take off.
7. India is going for diversification of imports.
8. Ukraine Crisis has shown the limitations of Russian weapon platforms and superiority of the western ones.

Economic Cooperation:

- Trade between India and Russia reached the record level of \$65 billion during the financial year 2023-24, surpassing the \$30 billion target by 2025. However, India's exports are just \$4.3 billion.
- Bilateral investment already reached the target of \$30 billion, has been revised upwards to \$50 billion. Both nations have gone for Rupee-Rouble trade and RBI is contemplating to permit rupee surplus to invest in securities in India.
- Major items of export from India to Russia are pharmaceuticals, telecom instruments, iron and steel, tea and chemicals, while imports include petroleum, pearl and semi-precious stones, coal, fertilisers and vegetable oils. In 2023, Russia became largest crude supplier to India.
- In 2019, India pledged a \$1 billion line of credit for the development of Russia's far east (at **Eastern Economic Forum**).
- At the 27th Saint Petersburg International Economic Forum in June 2024, Russia announced a new shipping route to export coal to India via Iran, leveraging the International North-South Transport Corridor (INSTC). The first shipment of coal from Siberia was exported in June 2024.

Challenges:

1. Huge trade deficit in the favour of Russia with lack of diversification.
2. USA sanctions add uncertainty to economic engagement.
3. Geographical distance and absence of connectivity linkages
4. Law & order issues and poor contract enforcement in Russia. Delay in project implementation on the part of India.
5. Absence of FTA and bilateral investment treaty (BIT).

6. Economy mainly dominated by government sector and is marred by high corruption.
7. Delay in operationalization of INSTC

Rupee-Rouble Payment Mechanism:

Indian and Russian have gone for Rupee-Rouble payment mechanism that will allow them to circumnavigate U.S. and European Union sanctions on Russia over the war. The problem was trade deficit leading to accumulation of significant amount of rupees by Russia. RBI has allowed the investment of the rupee surplus in vostro accounts in Indian treasury bills and government bonds. Russian financial institutions have requested the RBI to let them invest in stocks and securities in India.

Energy Cooperation:

- ONGC-Videsh has invested over \$8 billion with major stakes in oil fields such Sakhalin-1. Gazprom and GAIL have collaborated in joint development of a block in the Bay of Bengal. Both nations are also engaged in exploration of the Arctic.
- Post Ukraine crisis, Russia has become largest crude importer for India. India is also looking for importing coal from Russia.

Nuclear cooperation:

- The success and operationalisation of Kudankulam Nuclear power Plant is testament to cooperation.
- At Vladivostok summit, Russia agreed to build over 20 nuclear power units in India, as well as cooperation in building Russia-designed nuclear power stations in third countries, in the joint extraction of natural uranium, production of nuclear fuel and waste elimination.
- Both nations are building a nuclear power plant at Rooppur in Bangladesh.

Connectivity: INSTC, Chennai-Vladivostok maritime corridor

Evolution in India's position On Ukraine Crisis:

1. India has not taken sides but has advocated for immediate end of war and resolution of dispute through negotiations. However, India's position has evolved gradually.
2. Initially, India talked about legitimate security concerns, which were seen as pro-Russia.
3. India did not condemn Russian actions at any platforms. At UNSC, India abstained from voting.
4. Later on, India condemned killings in BUCHA and called for impartial inquiry to fix accountability.
5. Recently, India has also started talking about respect for international law, territorial integrity; which are seen as Pro-Ukraine.

Modi's statement: The Time is not for War (statement made publicly)- seen by the West as shift in India's position on Ukraine Crisis and increasing diplomatic pressure on Russia.

PM Modi State Visit to Russia in July 2024

- This was to hold the 22nd India-Russia annual summit. It was first visit of PM Modi since the beginning of Ukraine conflict.
- Both leaders agreed to boost and sustain bilateral trade growth by setting a target of \$100 billion by 2030. They also decided to promote using national currencies for bilateral trade.

- India-Russia cooperation in trade, economic and investment spheres in the Russian Far East for the period from 2024-29.
- Agreement on Cooperation in Research and Logistics in polar regions.
- Both agreed to promote joint manufacturing of defence equipment in India involving technology transfer and allow exports to friendly third countries.
- Both sides discussed ways to further shore up bilateral cooperation in sectors such as energy, trade, manufacturing and fertilisers.
- Modi told Mr. Putin that a solution to the Ukraine conflict is not possible on the battlefield and that peace talks do not succeed amidst bombs, guns and bullets.
- Conferred the '**Order of St Andrew the Apostle**' award by President Putin for his contribution to fostering bilateral ties between the two countries.
- Russia has promised to discharge Indians who were falsely induced to join its army.

PM Modi visit to Ukraine

Visit was at the invitation of Ukraine President Volodymyr Zelenskyy. It was the first Indian PM visit since the establishment of relationship between the two countries.

PM Modi emphasised that India has never been neutral in the Russia-Ukraine conflict and has always stood for peace. India seeks sincere engagement among all stakeholders to find practical solutions for an early resolution of the conflict.

An Intergovernmental Commission between India and Ukraine has been established to restore and deepen bilateral trade and economic relations to pre-conflict levels.

India gifted four Bharat Health Initiative for Sahyog Hita & Maitri (BHISHMA) cubes to Ukraine, designed to provide emergency medical care through mobile hospitals. These cubes are part of **Project Aarogya Maitri**, a program to offer crucial medical supplies and ensure rapid deployment of medical facilities in crisis situations.

Agreements Signed:

1. **Agreement on cooperation in agriculture and the food industry:** It aims to expand mutually beneficial cooperation, create favourable market conditions, and improve both countries' national food security.
2. **MoU on Indian humanitarian grant assistance:** Expansion of economic and technical cooperation, establishing a framework for India to provide aid for high-impact community development projects, such as reconstruction and recovery efforts.
3. **Cultural cooperation program for 2024-2028:** To promote direct links between art collectives, individual performers, and cultural institutions, as well as joint cultural and artistic activities.
4. **Memorandum of understanding on pharmaceutical standards:** It intended to promote pharmaceutical interests, prevent the circulation of substandard and counterfeit medicines, and ensure the safety and quality of medicines supplied to both markets.

Purpose behind the visit:

1. Strategy to engage with other nations of Europe beyond, Russia, France, Germany and the UK.
2. To underscore India's strategic autonomy (engagement beyond Russia).
3. To smoothen the ruffled feathers of the West after PM's state visit to Russia.
4. over 30 Indian frontline warships are powered by engines from Zorya Nashproekt of Ukraine.
5. Ukraine's expertise in defence technology, such as gas turbines and aircraft, offers opportunities for collaboration and joint manufacturing in India.

Convergences between India and Russia:

1. Mutual trust between both nations.
2. Shared vision of a multipolar world order and multipolar Asia
3. Economic complementarities in the face of western sanctions and withdrawal of western companies from Russia.
4. Complementarity in energy security
5. Strong defence relationship
6. Indian eagerness to invest in Russia's far east, exploration in the Arctic and Russia's need for investment
7. Stabilising Afghanistan and tackling terrorism in the region
8. Investing in third country- e.g.- Rooppur nuclear plant in Bangladesh

Challenges:

1. Relationship mainly dominated by defence and energy trade. Thus, lacks diversification.
2. Weak economic relationship
3. Russian adventurism puts India's diplomatic engagements in a tight spot
4. USA and European sanctions on Russia
5. Deepening of Sino-Russian relationship. Both sides have declared No Limits Partnership.
6. India getting closer to the West and Russia flirting with Pakistan (Sale of MI-35 attack helicopters to Pakistan).
7. Differences over Indo-Pacific and QUAD.
8. Differences on Ukraine crisis

Future of Relationship:

India going for neutrality during Ukraine crisis has reenergised the relationship and removed the emerging mistrust within Russia about India's membership of QUAD, Indo-Pacific and deepening engagement with the USA and the West.

1. Need for Russia to curb its adventurism and mend its relationship with the West
2. Need for both India and Russia to understand each other's strategic compulsions
3. Quick signing of the FTA and BIT to deepen economic engagements.
4. Operationalisation of connectivity projects like INSTC
5. Ensuring India's membership of EEU or concluding India- EEU FTA at the earliest.

Pivot to Asia policy:

The policy aims to balance Russia's economic interests by deepening its engagement with Asia and reducing dependence on the West and tackle the challenges that have emerged after sanctions imposed after Crimea crisis.

Eastern Economic Forum: The Eastern Economic Forum was established by decree of the President of the Russian Federation Vladimir Putin in 2015 to support the economic development of Russia's Far East and to expand international cooperation in the Asia-Pacific region.

New Russian Foreign Policy Concept:

Russia will continue to build a particularly privileged strategic partnership with India with a view to enhance and expand cooperation in all areas on a mutually beneficial basis. Russia will place special emphasis on increasing the volume of bilateral trade with India, strengthening investment and technological ties, and ensuring their resistance to "destructive actions of unfriendly states and their alliances".

In the new foreign policy document, **Russia has identified India and China as its main allies at the world stage.**

Eurasian Economic Union (EAEU)

1. The EAEU is an economic union that was established in 2014.
2. Member Countries: Russia, Belarus, Kazakhstan, Armenia and Kyrgyzstan.
3. It provides for free movement of goods, services, capital and labour, pursues coordinated, harmonized and single policy in the sectors determined by the member countries.
4. The EAEU is seen as an attempt by Russia to consolidate Russia's hegemony over the erstwhile Soviet Union countries. It is also seen as a counter measure of Russia against its isolation by USA and EU.
5. It will help India-Russia in strengthening their economic relations, tap the Central Asian markets and reduce Russia's dependence on China.

Both India and Russia have set up a joint study group (JSG) to negotiate the specifications of an agreement, a final agreement would be signed between India and Eurasian Economic Union. Presently, India and the EEU are finalizing broad contours and terms of reference for a proposed free trade agreement.

Russia-China Relations

Western sanctions on Russia have brought Russia and China together. China has become a reliable customer for Russian Gas. Russia has also exported S-400 missile defence system, Su-35, Missiles, Naval assets to China. From 2016-20, China was second largest customer for Russian armaments.

Both sides have signed 30- year gas-deal via a new pipeline. Since annexation of Crimea, the bilateral trade has increased by 50% and China has become the biggest destination for Russian exports. In 2023, bilateral trade reached \$240.1 billion, surging 26.3 percent year-on-year. Both have declared "No limit partnership".

During Ukraine crisis, China had been at the forefront of supporting Russia and criticizing west for sanctions. At the UNGA meet to suspend Russia from UNHRC, China voted in favour of Russia, while India abstained.

Both have also held military exercises and naval drills alongside Iran in the Indian Ocean.

On Indo-Pacific and QUAD, Russia has taken the Chinese line in criticizing it. It continues to support the idea of Asia Pacific.

After the 29th regular meeting of the heads of governments in August 2024, Chinese Premier Li Qiang said China is ready to work with Russia to strengthen all-round practical cooperation between the two countries, and push the China-Russia comprehensive strategic partnership of coordination for a new era to a new level.

Complementarities:

1. USA as common challenge.
2. Similar type of governments and leadership.
3. Economic complementarities
4. Both have agreed to link up EEU and BRI.

Contradictions:

1. Chinese worldview and Russia's unwillingness to be a junior partner
2. Historical animosity
3. Russia's concern of increasing Chinese influence in Central Asia
4. Relation mainly dependent on external factors

What should be India's approach:

1. Remain engaged with Russia with free and frank communication over each other's strategic imperatives.
2. Deepen the engagement in economic dimension to achieve the target of \$30 billion bilateral trade.
3. Diversify the relationship through FTA and BIT. \$1 billion line of credit for investment in far east is step in this direction.
4. Strengthen domestic capabilities to emerge as an alternative to China for Russia.
5. Completing the connectivity initiatives like INSTC to reduce time and cost of doing business.
6. Continue to maintain strategic autonomy while going for issue-based alliances

Ukraine Crisis

Current Status: Russia has made gains to the north of Ukraine's second-biggest city, Kharkiv. But in early August, Ukrainian troops launched a surprise attack across the border, advancing up to 18 miles (30km) into the Russian region of Kursk. President Vladimir Putin condemned the Ukrainian offensive as a "major provocation".

At the end of April, the US Congress finally passed a \$61bn aid package to provide missiles, artillery and air-defence systems to the Ukrainian military.

Reasons behind crisis:

Historical:

1. Russia considers Ukraine as part of common culture and descendency.
2. Ukraine is divided socially as the population in eastern Ukraine is more inclined towards Russia and are Russian speaking While western Ukraine is closer to other European nations like Poland.

Security:

1. Having a large territory but comparatively smaller population, Russia maintains its border security by ensuring the security of its neighbouring nations and keeping them within its own sphere of influence.
2. Russia has always been concerned about NATO reaching to its borders. At **2008 Munich security conference**, Russia had warned not to against including Ukraine.
3. If Ukraine goes with NATO, not only NATO weapons will reach up to Russian land borders, but even Russian naval ships in the black sea would be under threat.
4. Pro-West Ukrainians have always been sceptical of Russia's intentions and wanted NATO's security umbrella.

Geopolitical:

1. The political elite in USA continues to see Russia as a challenger. They do not favour close the relationship between Russia and Europe as this will weaken the global position of USA.
2. Russia has always been sceptical of USA's intentions and continuous expansion of NATO.
3. Russia looks at Zelensky as pro-West and USA hand in removal of pro Russia Viktor Yanukovich.
4. By achieving a swift victory over Ukraine, Russia wanted to send message to the European nations about limitations of dependence on US alliance and NATO.
5. After having succeeded in Syria, this was also an attempt by Russia to establish its geopolitical pre-eminence.

Current impasse:

USA cannot let Russia win as this will be a loss of face for USA after hasty Afghanistan withdrawal. Russia cannot afford to lose as that will be politically very costly for Putin regime.

Impact of Ukraine crisis:

1. High inflation across the globe due to spike in energy and food prices.
2. It has exacerbated the economic recovery post Covid-19.
3. It has exposed the limitations of international rules and organizations like UN and UNSC.
4. It can give rise to a new era of arms race.
5. It can lead to fragmentation of global economy and dedollarization of a large part of global trade.
6. It has reenergised NATO. Finland has joined NATO and Sweden is expected to join, taking the number to 32.
7. It can increase insecurity among smaller nations with stronger neighbours. Economic crisis in smaller states like Sri Lanka and Nepal can be linked to Ukraine crisis.

India's Gains:

1. India could underscore its strategic autonomy by withstanding the US and western pressure to take sides and condemn Russia.
2. It has elevated India's diplomatic profile and established India as an indispensable partner in geopolitics.
3. India has been able to deepen the stagnant Economic Cooperation with Russia by importing cheaper Russian crude and exporting medicines and other manufactured products to Russia.

4. There has been a demand from Russian side for Indian businesses and retail sector to replace the western ones.
5. Export of wheat to new markets like Egypt has been another success.

India's Challenges:

1. Diplomatic balancing between Russia and the West.
2. Fear of sanctions on defence imports from Russia. Example: S-400
3. Humanitarian Challenges: Bringing back students studying in Ukraine.
4. High inflation due to increased crude prices has dampened the economic recovery.
5. Economic crisis in India's neighbourhood.
6. Increased insecurity in India's neighbourhood since it also has smaller neighbours who have been skeptical of India's intentions.
7. Russia has been unable to honour commitments in delivering vital defence supplies to India. Due to this, IAF has slashed planned capital expenditure by nearly 1/3rd for FY 24.

Ukraine 10-point Peace Plan

- Radiation and nuclear safety
- Food security
- Energy security
- Prisoners and deportees
- United Nations Charter and Ukraine's territorial integrity
- Russian troops and hostilities
- Justice: Establishment of the Special Tribunal regarding the crime of Russia's aggression against Ukraine and the creation of an international mechanism to compensate for all the damages caused by this war.
- Immediate protection of the environment
- Prevention of escalation
- Confirmation of the end of the war

China 12-point peace plan for Ukraine:

In February 2023, In the paper, "China's Position on the Political Settlement of the Ukraine Crisis", Beijing has lists 12 principles.

1. Respecting the sovereignty of all countries
2. Abandoning the Cold War mentality.
3. Ceasing hostilities.
4. Resuming peace talks.
5. Resolving the humanitarian crisis.
6. Protecting civilians and prisoners of war (POWs).
7. Keeping nuclear power plants safe.
8. Reducing strategic risks.
9. Facilitating grain exports.
10. Stopping unilateral sanctions.
11. Keeping industrial and supply chains stable.

12. Promoting post-conflict reconstruction.

- Russia has welcomed the plan saying that the plan “correlates to the point of view of the Russian Federation”.
- USA has been sceptical of the plan expressing that it could be "stalling tactic" to help Russian troop on the ground in Ukraine.
- Ukraine has cautiously welcomed that plan but said that it would only be acceptable if Russia pulls out troops from all occupied Ukraine territory.

In March 2023, Russian President Vladimir Putin’s announcement that he intends to deploy tactical nuclear weapons on the territory of Belarus. It appears to be another attempt to raise the stakes in the conflict in Ukraine. Russia has argued that it is deploying in response to US deployments across Europe.

Price Cap on Russian Oil

G7 nations have put a cap on Russian oil at \$60 per barrel to restrict Russia’s revenues from Oil sales.

- G7 joint statement: decision was taken to "prevent Russia from profiting from its war of aggression against Ukraine".
- USA: With Russia's economy already contracting and its budget increasingly stretched thin, the price cap will immediately cut into Putin's most important source of revenue.
- Russia: Russia would "not accept" the price cap. it would not supply to countries enforcing it.
- Ukraine said the Western-proposed cap should be halved.
- Western allies also plan to deny insurance to tankers delivering Russian oil to countries that do not stick to the price cap.

Purpose

- Way to limit Russia’s earnings while keeping Russian oil flowing to the global economy.
- Hurt Moscow’s finances while avoiding a sharp oil price spike if Russia’s oil is suddenly taken off the global market.
- Push Russia towards withdrawal from Ukraine and negotiate the peace.
- Deter Russia’s partners from purchasing Russian oil for the fear of sanctions and western displeasure.
- Even with off the book sale using dark fleets, the cap would make it “more costly, time-consuming and cumbersome” for Russia to sell oil around the restrictions.

Limitations

1. Russia, the world’s No. 2 oil producer, has already rerouted much of its supply to India, China and other Asian countries at discounted prices.
2. A \$60 cap will not have much impact on Russia’s finances because it would be near where Russian oil is already selling.
3. Russia has said it will not observe a cap and will halt deliveries to countries that do. Thus, resulting in energy crisis in Europe during winters.
4. Buyers in China and India might not go along with the cap, due to their energy needs. Both India and China have significantly purchased the Russian oil since beginning of the conflict.
5. Russia or China could try to set up their own insurance providers to replace those barred by U.S., U.K. and Europe.

6. Russia also could sell oil off the books by using “dark fleet” tankers with obscure ownership, as have Venezuela and Iran.
7. Other OPEC nations don’t agree as they see this as shift of power from sellers to buyers.

Probable Questions:

1. Ukraine crisis has presented an opportunity to reenergise and deep in India Russia relationship. Discuss some of the steps taken in this direction. Also mentioned the challenges associated with it.
2. Despite Russia’s reservations, cooperation between India and Russia in the Indo Pacific region can be a win-win partnership. Discuss the key elements of India’s Indo-Pacific strategy.
3. Briefly discuss the trajectory of India-Russia relationship. Mention the challenges faced in recent times and a way forward for it.

India Japan relations

Previous Year Questions

1. ‘The time has come for India and Japan to build a strong contemporary relationship, one involving global and strategic partnership that will have a great significance for Asia and the world as a whole.’ Comment. (2019)

India and Japan share a global vision of peace, stability and shared prosperity, based on sustainable development. Shared democratic values and commitment to human rights, pluralism, open society, and the rule of law underpin the global partnership between the two countries.

In 2014, India and Japan upgraded their relationship to 'Special Strategic and Global Partnership'. **Japan PM Kishida:** India is “indispensable” in Tokyo’s plan for a “Free and Open Indo-Pacific”.

Modi: Strengthening this partnership is not only important for both our countries, it also promotes peace, prosperity and stability in the Indo-Pacific region.

Economic Relations:

1. Bilateral trade stands at \$22.85 billion in FY 2023-24 with Japan enjoying a trade surplus of around \$12 billion.
2. Japan is 3rd largest investor in India with cumulative FDI inflows of \$30.27 billion during 2000-2019.
3. The **India-Japan Comprehensive Economic Partnership Agreement (CEPA)** that came into force in August 2011 covers trade in goods, services, movement of natural persons, investments, Intellectual Property Rights, custom procedures and other trade related issues.
4. Both sides have made a target of 5 trillion-yen worth of Japanese investment in India in 2022-2027 period.
5. India-Japan Industrial Competitiveness Partnership aimed at transformation of our manufacturing cooperation.

6. Ties between India and Japan on the economic front are way below their potential and India has a lot of catching up to do with China. China accounted for 24 percent of Japan's imports and 22 percent of its exports, while India accounted for 0.8 percent of Japan's imports and 1.7 of its exports.

Security Cooperation:

1. Security pact concluded between Japan and India in October 2008 for joint military exercise and defence technology cooperation.
2. Annual India-Japan 2+2 Foreign and Defence Ministerial Meeting.
3. Both are regular participant to Annual Malabar exercise, along with USA and Australia.
4. Bilateral maritime exercise- JIMEX

Cooperation in Infrastructure Development:

1. Japan has supported India's mega infrastructure projects like the Delhi-Mumbai Freight Corridor, Delhi-Mumbai Industrial Corridor, Chennai-Bangalore Industrial Corridor and the Ahmedabad-Mumbai High Speed Rail etc.
2. **Outside India:** Asia-Africa Growth Corridor (AAGC) announced in 2017 and joint projects in some third countries like Bangladesh, Myanmar, and Sri Lanka and in Africa to be taken jointly.
3. Japan and India cooperation on the development of India's Northeast, through the Japan-India Act East Forum. Japan is the only country permitted to invest in India's North East. It has invested \$2 billion in the region.

Political Engagements:

1. Annual summit level dialogue between 2 Prime Ministers.
2. The Act East Forum, established in 2017, aims to provide a platform for India-Japan collaboration under the rubric of India's "Act East Policy" and Japan's "Free and Open Indo-Pacific Vision". Japan is a lead partner on the connectivity pillar of IPOI.
3. Both commit to strong support for ASEAN's unity and centrality and for the "ASEAN Outlook on the Indo-Pacific (AOIP)" which upholds the principles such as the rule of law, openness, freedom, transparency, and inclusiveness.

Sister City Cooperation: promote mutual cooperation between Gujarat and Hyogo (Ahmedabad-Kobe) in the fields of academics, business, cultural cooperation, disaster management and environmental protection.

Digital Sector: India-Japan Digital Partnership (I-JDP) was launched during the visit of PM Modi to Japan in October 2018 furthering existing areas of cooperation as well as new initiatives within the scope of cooperation in S&T/ICT, focusing more on "Digital ICT Technologies".

Recent Initiatives:

1. Recently, India, Japan and Australia have formally launched the Supply Chain Resilience Initiative (SCRI) in a move to counter China's dominance of the supply chain in the Indo-Pacific region.
2. In 2020, India and Japan signed Acquisition and Cross-Servicing Agreement (ACSA) to allow armed forces of both sides to coordinate closely in services and supplies.

Outcome Of India Japan annual summit 2023:

1. Both nations vowed to work together to deal with pressing global challenges under India's presidency of the G20 and Japan's chairmanship of the G7 grouping.
2. 2023 has been announced as the India-Japan year of tourism.
3. Japan announced **\$75 billion to bolster Japan's free and open Indo-Pacific (FOIP) policy** for infrastructure and growth.
4. Signed of a 300-billion-yen loan for the Project for Construction of high-speed rail.

Convergence:

1. Commitment to free and open Indo-Pacific and ASEAN centrality.
2. China as a common threat
3. Development of Russia's far-east. Both participated in Eastern Economic Forum.
4. Need for diversification of supply chains.
5. Economic complementarities and investment in 3rd country/region
6. Democratic societies, multipolarity and cultural relations.

Challenges:

1. Differing views over Ukraine crisis and Russia.
2. Bilateral trade remains below potential.
3. Challenges faced by Japanese companies in India due to red tapism and complexity of laws.
4. On the issue of nuclear weapons.

Japan's Strategic Reorientation

Japan is set to become a major military power, transform its famed civilian industrial capability into a military industrial complex, and turn from being a US protectorate into an American partner and a significant contributor to Asian and Indo-Pacific security.

In 2020, Japan's military expenditure touched **1% of GDP** for the first time in six decades. Kishida's government has pledged to double annual defence spending to around 10 trillion yen (\$68 billion) by 2027, which would make Japan the world's third-biggest military spender after the US and China.

Japan is in the process of further acquiring its own counter-strike capability in the form of cruise missiles. It signed a deal with the US to purchase up to 400 Tomahawk cruise missiles, capable of striking deep into China and North Korea. From relying entirely on the US, it is now building up its own deterrent capabilities.

In 2023, Japan's cabinet eased its self-imposed ban on exports of lethal weapons to friendly countries. This has paved the way for the leveraging of Japan's immense manufacturing and technological base to aid its allies. Immediately after the easing of the export ban, Japan approved a shipment of Japanese-made Patriot missiles to the US. Along with the United Kingdom and Italy, Japan is leading the Global Combat Air Programme, a proposed sixth-generation stealth fighter.

Japan and the US are in the process of revising the command-and-control framework governing their defence forces, with plans to eventually significantly integrate the command structure. A joint operations command will be set up in Japan going forward.

Japan has made attempts to end disputes with South Korea. The reconciliation has facilitated greater regional security coordination, and has helped the US move from a system of bilateral alliances in Asia to a regional security network, in which US allies work with each other.

Reasons for change

The US has long pressed Japan to take a more active security role in Asia. But Japan, comfortable with its commercial focus, has been unwilling. A mix of external and internal factors have contributed to its reorientation in the 21st century.

On the external front, four elements have come together:

- The rise of China and its military assertion, especially on the territorial disputes with Japan
- The deepening military bonds between Beijing and Moscow and the coordination of their policies in North East Asia
- The growing military capabilities of North Korea and
- The fears triggered by the Trump Administration that the US could withdraw its security protection to Japan and other Asian allies.

Together, these factors have profoundly altered Japan's regional security environment, and demanded fresh thinking.

Internally, this situation strengthened conservatives in Tokyo, who wanted to see Japan becoming a 'normal power'. They argued that Japan has done enough to prove its credentials as a responsible citizen of world affairs, and the time has come for it to take responsibility for its own security, and to contribute to the regional order.

India Australia Relations

India -Australia bilateral relations have seen a dramatic transformation in less than a decade. From persistent suspicions and distrust, occasional animosity, and polite disinterest between two nations, both enjoy Comprehensive Strategic Partnership and have signed Free Trade agreement. The turnaround is driven by strategic necessity, mutual benefit, and proactive bipartisan political will.

India and Australia enjoy Comprehensive Strategic Partnership. Both are strong, vibrant, secular, and multicultural democracies. They both have a free press and independent judicial system; the English language is an important link.

Economic Cooperation:

1. India is Australia's seventh-largest trading partner and sixth-largest export market (2020) with bilateral trade of over \$48 billion (2023) with an aim to double to \$100 billion in next five years.
2. India and Australia have signed the **India-Australia Economic Cooperation and Trade Agreement** (Ind- Aus ECTA) to deepen bilateral trade and economic cooperation. It is estimated to double trade between the two nations and generate one million jobs.
3. Australia's goal is to lift India into its top three export markets by 2035 and make it Australia's third largest outward investment destination in Asia.
4. India and Australia have signed a migration and mobility partnership pact to open up opportunities for students, academic researchers and business people

- Both nations have resolved to conclude a comprehensive trade deal i.e., **Comprehensive Economic Cooperation Agreement (CECA)** by the end of 2023.

Features of ETCA:

- First FTA with a developed country after a long time.
- India will benefit from preferential market access provided by Australia on 100% of its tariff lines. This includes all the labour-intensive sectors of export interest to India such as Gems and Jewellery, Textiles, leather, footwear, furniture, food, and agricultural products, engineering products, medical devices, and Automobiles.
- India will be offering preferential access to Australia on over 70% of its tariff lines, including primarily raw materials and intermediaries such as coal, mineral ores and wines etc.
- It is a win-win for both partners because it will ensure uninterrupted supply of key raw material to India while giving Australia access to a more reliable alternative to China.

Geopolitical:

- Both India and Australia share same geographical space and have stake in stability and rule-based order in the Indo-Pacific.
- Both are concerned about Chinese activities in their neighbourhood and attempts to manipulate smaller neighbours through non transparent deals and chequebook diplomacy.
- Weaponization of trade by China has forced Australia to diversify its economic partners and India fits into the need for a reliable, democratic market.
- Both India and Australia are members of the G-20, Commonwealth, IOR-ARC, ASEAN Regional Forum, Asia Pacific Partnership on Climate and Clean Development, East Asia Summit and are members of Commonwealth.
- Both are partners in Supply Chain Resilience Initiative (SCRI) and Quad.

Political Cooperation: In June 2020, Australia and India decided to upgrade their secretary level 2+2 dialogue (Defence and Foreign Affairs) to the Ministerial level.

Australia has setup Centre for Australia-India Relations located at Parramatta, Sydney to serve as a focal point for the bilateral relationship and particularly the role of the diaspora in it.

Security Cooperation: AUSINDEX, Malabar Exercise, India's participation in Pitch Black warfare exercise. Both nations can cooperate to address security concerns of ASEAN nations and Pacific islands. Membership of ARF and ADMM+ can play a key role in this regard.

Energy Security: With huge reserves of LNG and Coal, Australia can be a key player in diversification of India's energy imports and strengthen energy security. Indian investments in Australia's coal sector can be a precursor for joint investment and development for a win-win scenario.

Both have signed Australia-India Green Hydrogen Taskforce which will explore opportunities in the area of renewable hydrogen

Other Areas: Disaster management, prevention and mitigation in the Indo-Pacific, Climate Change mitigation to help small island nations of the region provide other avenues for cooperation.

Convergences:

1. Share common geography in Indo-Pacific and Indian Ocean Region
2. Shared believe in multipolarity and multilateralism
3. Shared stake in stability of Indo Pacific and rules based international order
4. Shared concern about the rise of China and resultant instability
5. Need for diversification of trade partners and supply chains
6. Economic complementarities- Russia has important mineral resources like uranium, coal etc.
7. Common Platforms: QUAD, SCRI, IORA, East Asia Summit etc.

Challenges:

1. Lack of military component to strengthen the relationship.
2. Differing stance on Ukraine crisis.
3. Trade relations remain below desired potential.
4. Domestic protests against Indian projects in Australia
5. Frequent hate crimes against Indian diaspora in Australia

India-France Relations

India-France Relations have traditionally been close and friendly. Both nations elevated the relationship to Strategic Partnership in 1998.

France became the **first country to engage in a Strategic Dialogue with India** following India's nuclear tests in **1998**. Unlike other nations, France chose not to impose bilateral sanctions on India and instead showed a deeper understanding of India's security concerns.

Convergences:

- Shared values of Democracy, Human Rights and Rule of Law.
- Common World Views: strategic autonomy, independent foreign policies, and a shared vision of a multipolar world.
- Shared concern about China Rise and need for stability in the Indo-Pacific.
- Security cooperation with no-strings-attached unlike USA.

Economic Cooperation:

- Bilateral trade reaching an impressive \$13.4 Bn in 2022-23.
- France has emerged as the 11th largest investor in India, with FDI inflow of \$10.5 Bn from April 2000 to March 2023.

Security Cooperation:

France has been a valuable ally in India's defence modernization efforts, highlighted by the acquisition of 36 Rafale fighter aircraft in 2016 and the P-75 Scorpene project,

- France has remained a trusted supplier of defence platforms to India. It was the **second largest defence supplier** for India in 2017- 2021.
- France has helped **India diversify its pool of arms suppliers beyond Russia and the US**, especially when sanctions were imposed on India in the past.

- Induction of **French Scorpene submarines** and Rafale fighter jets.
- Joint military exercises like **Varuna (navy), Garuda (air force), and Shakti (army)**.
- joint development of a combat aircraft engine and also an engine for the Indian multi-role helicopter (IMRH) being designed and developed by Hindustan Aeronautics Limited.
- Both countries are also working towards adopting a road map on Defence Industrial Cooperation. India is setting up a Technical Office of the Defence Research and Development Organisation (DRDO) at its embassy in Paris.

Indo-Pacific:

- In 2018, India and France agreed on a 'Joint Strategic Vision of India-France Cooperation in the Indian Ocean Region'.
- Prime Minister Modi's vision of SAGAR (Security and Growth for All in the Region) and President Macron's vision of security and cooperation outlined in the Indo Pacific Strategy of France are very much aligned.
- As resident powers of Indo-Pacific region, India and France working on "**Indo-Pacific cooperation road map.**"

Energy Cooperation:

- India and France jointly launched **International Solar Alliance**, headquartered in Gurugram.
- Agreement in March 2018 to build six European pressurized water reactors (EPR) at the Jaitapur
- In October 2022, both nations signed a Road Map on Green Hydrogen, which aims to bring the French and Indian hydrogen ecosystems together.

Other areas of cooperation: In February 2022, both nations signed a **Road Map on the Blue Economy and Ocean Governance**.

PM Modi Visit to France: PM Modi made a visit to France to celebrate the 25 years of strategic partnership and participated in Bastille Day parade.

Key Outcomes:

- **PM Modi bestowed with France's highest honour**, the Grand Cross of the Legion of Honour, by French President Emmanuel Macron.
- **Launch of a 25-year vision roadmap that will** set the course for the France-India bilateral relationship in all areas till 2047.
- The roadmap for bilateral relations has **three pillars**: partnership for security and sovereignty; partnership for the planet; partnership for the people.
- Two countries launching an "**Indo-Pacific Roadmap**" covering security, the environment and renewable energies etc. the two sides decided to work on finalising an **Indo-French development fund** for third countries. This will enable joint financing of sustainable development projects in the Indo-Pacific region.
 - India and France will work to set up the Indo-French Health Campus for the Indo-Pacific.
- A "**Horizon 2047**" agenda for the wider relationship, covering a deeper military industrial relationship, cooperation in digital technologies, transition towards a low-carbon economy, urban transition, trade and investments, and people-to-people contacts.

- Both also announced cooperation on small and advanced modular reactors, finalisation of the joint Earth observation satellite, and simplification of visa requirements for students etc.
- Two countries had agreed to launch India's Unified Payment Interface (UPI) in France.
- **Joint Commitment to Eliminate Single Use Plastic Products Pollution**

French president visit to India in January 2024

Key Outcomes

- Building on the “joint surveillance missions” carried out from French La Reunion in 2020 and 2022, both sides have agreed to intensify their cooperation in the Southwest Indian Ocean. France is the first major Western military power with which India has conducted joint patrols for which Indian Navy P-8I maritime patrol aircraft were deployed in French island territory of La Reunion.
- Both sides are conducting bilateral dialogues for identification of specific opportunities for using India “as a base” for the manufacture and export of defence equipment for friendly countries in the region.
- They committed to deepening the long-standing partnership in the Indo-Pacific, based on their common vision.
- Both countries committed to revitalising trilateral cooperation with Australia, deepening cooperation with the United Arab Emirates (UAE), and exploring new trilateral partnerships in the region.
 - In June 2023, the first edition of India, France and UAE Maritime Partnership Exercise commenced in the Gulf of Oman.

Indian Diaspora

Previous Years' Questions

1. Indian diaspora has scaled new heights in the West. Describe its economic and political benefits for India. (2023)
2. Indian diaspora has a decisive role to play in the politics and economy of America and European Countries'. Comment with examples. (2020)
3. Indian Diaspora has an important role to play in South-East Asian countries' economy and society. Appraise the role of Indian Diaspora in South- East Asia in this context (2017)

International Migration 2020 Highlights by UNDESA (UN Department of Economic and Social Affairs) has said that the Indian Diaspora (18 million residing outside India in 2020) is the largest in the world.

The Indian diaspora around the world now stands at 31.2 million, of which PIOs were 17 million and NRIs were 13 million, spread across 146 countries in the world.

According to Reserve Bank of India, India received approximately \$119 billion (\$107 billion net) in remittances in 2023-24 with USA being the biggest source, accounting for over 23% of these funds.

Evolution of Policy towards Diaspora:

During pre-independence period, The Indian political elites had shown solidarity and shared their concerns with the Indian expatriates through deputations by the Congress delegates. the plight of Indians abroad was a major issue for the independence movement led by Indian National Congress.

After achieving independence in 1947, there was a paradigm shift in the position of Diaspora policy as a result of India's foreign policy being guided by Nehruvian ideals of anti-imperialism and racial apartheid, respect for Sovereignty and non-alignment.

The then Prime Minister of India, Jawaharlal Nehru categorically announced that ethnic Indians who chose to remain abroad would consider themselves as citizens or nationals of their respective host lands. In fact, they were encouraged to integrate with host culture and fight for the liberation of their adopted lands.

- Even during the nationalist backlash against the Indian communities in Africa and Asia in the 1950s and 1960s, Delhi consciously distance itself from the Indian communities abroad.
- As India turned inwards, Delhi also took a dim view of the "brain drain" as many well-trained Indians began to look for opportunities elsewhere.
- It was only in the late 1980s that Delhi began to rethink its approach to the diaspora.
- **PM Rajiv Gandhi** was the first to appreciate the potential role diaspora could play in advancing national development and improving India's ties with the US.
- In 2000, the **Pravasi Bharatiya Divas** was commenced to mark the contribution of the overseas Indian community towards development of India. A separate Ministry for Overseas Indians was also formed under PM Vajpayee. In 2016, it was merged with the Ministry of External Affairs.
- Since then, successive governments have harnessed the diaspora for national development.
- With coming of Modi government, diaspora has got even greater centrality in both domestic and foreign policy.
- Some innovative initiatives for the diaspora are Know India Programme (KIP) and Study India Programme (SIP), Pravasi Teerth Darshan Yojana, Indian Community Welfare Fund (ICWF) etc.

Countries Hosting Indian Diaspora -2020

- United States of America (USA) – 4.5 million
- Saudi Arabia – 4.1 million
- United Arab Emirates (UAE) – 3.4 million

Role of Diaspora:

- **Projecting India's soft power:** In most of the nations, they are the richest minority and act as "bridge-builders" between India and their adopted countries.
- Lobby for India's national interests. E.g.- Indian in the USA lobbied for nuclear deal.
- Support economically through investment and remittances.
- Ambassadors of India's syncretic culture and traditions
- Contribute economically to India's rise through investments and helping in mobilising investments in India.
- Key to Changing negative perception about India and creating a positive perception.

Indians in the Gulf:

- Around 8.5 million Indians live and work in the Gulf countries, one of the largest concentrations of migrants in the world.
- The geographical and historical proximity, demand for blue-collar workers in the gulf makes it a convenient destination for Indians.
- Today migrants from across India are working and living in the Gulf countries (Saudi Arabia, UAE, Qatar, Bahrain, Oman, and Kuwait).
- Source of remittance for India.
- Concern of Indian workers has been a concern in India's engagement with the Gulf.

Benefits:

1. It has deepened the relations between India and the Gulf States.
2. A win-win relationship- where Gulf States get the much-needed workforce and Indians get employment and India gets remittances.
3. Indian businesses are among the biggest investors in the gulf region

Challenges:

1. Harsh punishments like death sentence for common crimes to Indians puts Indian diplomacy in a tight spot.
2. Accusations of substandard working conditions and exploitative laws like kafala system. The Kafala system is a sponsorship system that ties a migrant worker's visa to their employer in a host country. Recently, Saudi Arabia has made the law lenient while Qatar has formally abolished it.
3. Frequent conflicts in the region and need to evacuate Indians.
4. Economic downturn in Gulf States, new laws like Kafala system and Covid-19 pandemic have restricted employment opportunities for Indians.

Indians in USA and West:

- The diaspora is highly educated and goes to the USA for better employment opportunities, higher education, research and development.
- Migration has increased substantially after the IT revolution.
- In recent decades the population has grown substantially. As of June 2024, there were over 5.4 million Indians living in the United States, including over 3.3 million people of Indian origin.
- This makes the foreign-born from India the second-largest immigrant group in the US after Mexicans.
- Indian diaspora in the USA is both politically and economically influential. They are among the most educated and high per capita income group in the USA.
- They have played key role in strengthening India- USA relations.

The Indian Diaspora has evolved over three phases in U.S, firstly the pursuit of education and employment, secondly, as major source of remittances (\$10.657 Billion annual remittance from US to India in 2017) and thirdly as effective players in impacting the dynamics of U.S.

Indians are among innovators, investors and entrepreneurs creating job opportunities and giving edge to the US and European economies.

- Sunder Pichai (Alphabet), Satya Nadela (Microsoft), Ajay Banga (Master Card), 34% of Microsoft employees in US are of Indian origin

- 12% scientists in USA are Indians.
- 36% of NASA scientist in US are Indians
- Prominent politicians: Nicky Helly, Pramila Jayapal, Rishi Sunak

Leading Indian-American entrepreneur and activist **Swadesh Chatterjee** in his book '**Building Bridges: How Indian-Americans Brought the United States and India Closer Together**', provides a first-hand account of the involvement of the influential community in getting the deal through the US Congress. It was a grassroot campaign by Indian-Americans, who literally flooded their lawmakers with emails, letters and faxes, that saw the Indo-US civil nuclear agreement pass through the Congress, says the book on the unprecedented coming together of the community for the deal.

Challenges:

1. It creates scope for interference in India's domestic politics. E.g.- during protests against agricultural laws.
2. India gets involved in cases of discrimination and hate crimes. This might distract attention from other substantive issues.
3. Changes in migration related rules like H1-b visa (USA) and Mode-4 migration (EU) have been key areas of concern in diplomatic negotiations.
4. Activities of Khalistan-supporters, aided by ISI and other anti-India elements have created a new challenge and has potential to disrupt the bilateral relations. Recently USA has accused India of involvement in assassination attempt on Khalistan supporter Gurpatwant Singh Pannu.

Indians in Africa:

There is More than 3,000,000 people of Indian descendants in Africa. Indian Diaspora in Africa constitutes 12.37 per cent of the total Diaspora of India. A large chunk of Indian diaspora continues to live in African countries such as Kenya, Uganda, Mauritius, and Nigeria.

They are mainly the descendants of indentured and ex-indentured labourers who had been taken by the colonial regime to work on the farms. In recent times, people have moved for investment and business purposes due to booming economies of Africa. However, the government gives lesser attention to the African diaspora compared to d diaspora in the gulf or in the Western nations

Prominent People:

Prime Minister of Mauritius Pravind Jugnauth

Bhimji Shah (Kenya), Sudhir Rupareila (Uganda) are among the richest Africans.

Challenges:

1. Indian businessman like Gupta brothers found involved in money laundering dents the image of honest business practices by Indian diaspora.
2. Incidences of hate crime that occurs sometimes in Kenya, South Africa etc.
3. Sentiments about Indian businesses as exploiters in the past during Idi Amin regime has started emerging again in countries like Tanzania.

India in South East Asia:

1. The Indian civilization naturally extended to the territories of present-day South-East Asia. The spice and silk routes helped in exchange of ideas, culture and people apart from trade.
2. There is no uniformity in terms of social, political and economic progress among Indians in South East Asia.
3. Indian diaspora is in key position in the areas like IT, education and technology in Singapore, Philippines, Malaysia etc.
4. In Singapore, prominent persons of Indian origin include former President Late S. R. Nathan and Late S. Rajaratnam, an influential personality in the public life of Singapore.
5. Indians are also well represented across judiciary, civil services and armed forces.
6. The economic and social status of Indian vis-à-vis Chinese and locals are not satisfactory in nations like Malaysia.
7. The Indian community's contribution to Malaysia's GDP is about 2% and its share in Malaysia's international trade is about 3%.

Steps taken to deepen engagements

- Pravasi Bharatiya Divas
- Merging of PIO and OCI cards
- National Pension Scheme for NRIs
- Overseas citizenship of India scheme
- Know India Programme
- Pravasi Teerth Darshan Yojana
- Scholarship Programmes for Diaspora Children
- Indian Community Welfare Fund (ICWF)
- Pravasi Bharatiya Divas Conferences
- India Development Foundation of Overseas Indians (IDF-OI)